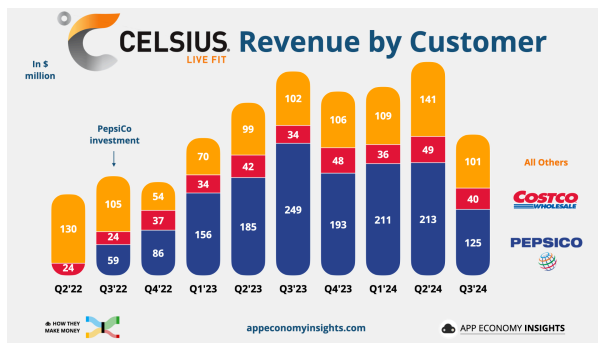


Investment Thesis

We issue a buy recommendation for Celsius with a 1-year price target of \$55.17, offering a 48.78% upside from the current price of \$37.34. Through comprehensive research and analysis, we can confidently say that Celsius is a structurally and financially sound company. Celsius is a producer of energy drinks and has grown its market share in the industry in the past few years to 11.8% through its unique brand and consumer base. It strays away from the traditional energy drink market and finds its success in the niche of health-conscious and wellness drinks. It pioneered this market, giving it the first-mover advantage over competitors, including Monster and Red Bull. Celsius is also solely focused, giving it an edge over diversified competitors, including PepsiCo and Keurig Dr Pepper. The outlook for Celsius is one of expansion and growth as it resumes sales to PepsiCo for distribution and expands into new international markets, including Belgium and Luxembourg. The resumption of sales to PepsiCo should dispel concerns over maturity and slowing growth, which can lead to overvaluation, as the increased sales will drive earnings correspondingly to 2023. A primary source of growth for Celsius will be implementing Alani Nu into its brand following its 2024 acquisition. This \$1.8 billion acquisition presented a momentous investment for Celsius that significantly broadened its market share and already prospering presence in the health and wellness market. Celsius has a strong track record of expanding margins and improving inventory efficiency while maintaining minimal reliance on debt, positioning the company for long-term profitability as it expands and capitalizes on its differentiated market position.

Business Overview

Celsius is a functional energy drink company based in Florida (U.S.) and operating internationally. The company engages in developing, processing, marketing, selling, manufacturing, and distributing functional energy drinks and other health products to a broad range of consumers, including fitness enthusiasts. Celsius provides differentiated products with



innovative formulas, many of which are clinically proven and meant to impact its consumers' lives positively. The company's brand has proven attractive to a broad range of customers (CELH 10k form). Celsius earns revenue by selling to distributors, who then sell the products to retailers and consumers. Most of Celsius's revenue comes from selling to PepsiCo to distribute; the second most comes from Costco's purchases and distribution, and the rest comes from various sources such as online retailers like Amazon or straight-to-consumer revenue.

*image from App Economy Insights

Celsius is in the food and beverage industry, specifically the energy drink industry. Celsius has pioneered this industry by fulfilling a performance and wellbeing-focused niche. CEO John Fieldly put it best: "The Celsius brand and products were born in the gym and fitness channel, and we've kept hold to our roots in this area. I think this is why consumers have gravitated to our brand so much; they see that we're authentic to our core and continue to support the fit lifestyle culture." This niche is driven by Celsius's unique ingredients, which include green tea extract (to boost metabolism), guarana seed extract (double the caffeine than the average coffee bean), ginger root (supports thermogenesis), vitamin B (for energy production), Vitamin C (helps with tissue repair), and chromium (helps control hunger and blood sugar). Celsius's outlook in this niche and the energy drink market is positive as it continues to make successful strategic moves like the acquisition of Alani Nu and its distribution partnership with PepsiCo.

Industry and Competition

Celsius represents what the future of the energy drink industry looks like. The energy drink industry is experiencing a revolution, creating ample opportunity for growth and market capture. The introduction of brands like Celsius, Alani Nu,

and Ghost (owned by Keurig Dr Pepper) have proved that while traditional energy drink markets may be oversaturated, specific demographics remain untapped. The days of the energy drink market being dominated by brands that promote extreme “macho” activities, like Red Bull and Monster, are over. The new growing faces of the industry are now Celsius, PepsiCo, and Dr. Pepper, which promote a healthy lifestyle that can appeal to everyone. A key factor is the shift from the male-dominated energy drink consumer to gender-balanced today. Celsius’s acquisition of Alani Nu has shown its focus on appealing to the emerging female energy drink consumer market. The lifestyle-oriented, functional focus and gender-balanced audience represent the next frontiers for the energy drink industry—areas where Celsius has moved more aggressively than any competitors.

Comparable companies

Pepsico (PEP): PepsiCo is a much larger, diversified company than Celsius, but they have entered the energy drink market through its ownership of Rockstar Energy, AMP Energy, and Gatorade Fast Twitch, among others.

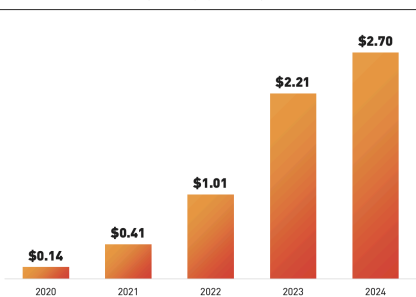
Keurig Dr. Pepper (KDP): Similar to PepsiCo, Keurig Dr. Pepper is a large conglomerate with many energy brands, such as Ghost Energy, and a 30% stake in Nutrabolt, who make C4 Energy.

Monster (MNST): Monster is the largest public company focused primarily on energy drinks, with a market share of 27.7% as of the end of 2024. They also own subsidiary brands, such as Reign Energy and Bang Energy.

Red Bull: Red Bull is a private company focusing on energy drinks and sports. They have consistently taken the most market share of the industry, with 36.6% as of the end of 2024. However, this percentage has been dropping for the past couple of years.

Growing Market Share

CELSIUS RETAIL SALES ACROSS TRACKED CHANNELS¹
(MUL0+ W/C I BILLIONS)



BRAND*	2024 SHARE²	2024 \$ CHG v YA²
1	36.6	\$408.7M
2	27.7	(\$22.5M)
3	11.8	\$489.3M
4	3.6	\$323.6M
5	3.4	\$155.9M
6	3.0	(\$71.4M)
7	3.0	\$91.6M
8	2.8	\$25.0M
9	2.2	\$15.7M
10	1.6	(\$58.0M)

Celsius is one of the fastest-growing companies in the energy drink industry. Celsius’ market share has jumped to almost 12% by the end of 2024 from 4.6% at the start of 2022 (2.4% YOY), and will continue to eat into the market share of Monster and Red Bull. In 2024, “Celsius contributed 30.3% of all energy drink category growth YoY.” Not only this, but Celsius had a “strong 22% volume growth year-over-year despite a challenged 2024 CPG and energy drink category.”

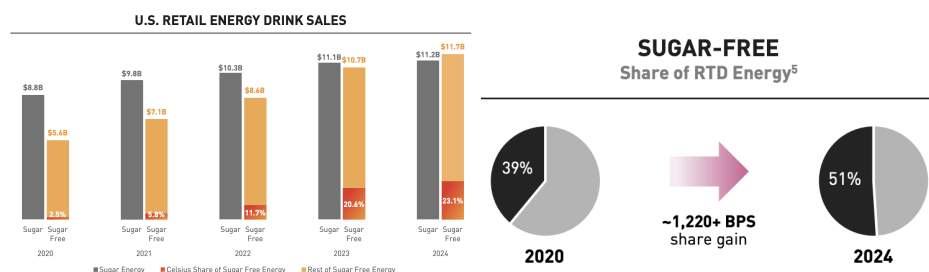
*Images from Celsius Fourth Quarter 2024 Investor Presentation

New Markets and Variety

While most experts agree that the energy drink industry is reaching maturity, there are still ample opportunities to reach new demographics, which is the core driving factor in Celsius’s meteoric rise. The primary market that Celsius focuses on is the health and well-being sector. With people becoming more health-conscious, which experts attribute to starting during the COVID-19 pandemic, the demand for health-focused energy has never been higher. Celsius capitalized on this by producing zero-sugar, calorie-conscious drinks. Combined with a fat-burning and increased metabolism focus in marketing, Celsius sales exploded among the younger, health-conscious population.

We can see how Celsius has pioneered the market for health-conscious individuals and has the most variety by examining Red Bull and Monster Energy’s product lines compared to Celsius’s. In 2013, Red Bull began releasing new products named “editions”. Since then, they have released seven permanent editions and a rotating edition that changes 3 times per year: the summer, spring, and winter editions. While Red Bull has had a sugar-free version since 2003, the 2024 winter edition in October was the first time Red Bull released a new flavor in sugar and sugar-free versions. In total, Red Bull offers 10 flavors, 5 of which have sugar-free versions, and releases approximately four new flavors per year. In

comparison, Monster has 36 flavors across four product lines and 5 different hydration flavors. However, only 17 of these flavors are sugar-free. Monster has been following Celsius's lead in trying to shift towards health-conscious, zero-sugar drinks. It took until 2023 for Monster to release a zero-sugar version of their original drink, and their flagship release in 2024 was the zero-sugar Monster Ultra Vice Guava. Celsius has outperformed both of these companies in the variety of sugar-free options. They have 37 flavors, all of which are sugar-free, and have diversified their product lines as they began selling their energy drinks in powdered form, something their larger competitors have not, and offering a new hydration line of drinks. Additionally, Celsius continues to innovate more than its competitors, releasing 6 new flavors this past year. Consumer statistics have shown that the trend towards zero sugar is not simply a fad either. Celsius boasts an increase of 2.5 million in repeat buyers, accounting for approximately 72% of households. Red Bull only added 1.5 million, and Monster lost 1.2 million repeat buyers. Additionally, Celsius reports 8.3 trips per buyer, a 7% increase YoY, whereas Red Bull lost 0.3% and Monster only gained 1.2%. These statistics show that consumers are flocking to Celsius for their zero-sugar, health-conscious drinks and are staying for good. This impressive consumer retention solidifies the effectiveness of Celsius's unique brand identity and strategy.



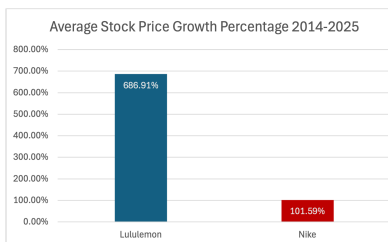
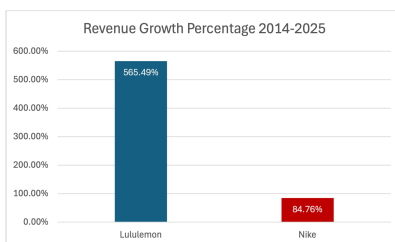
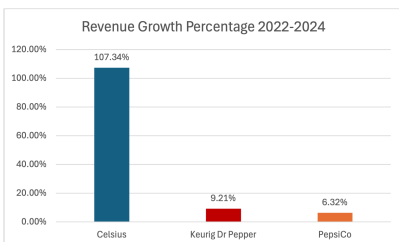
*Images from Celsius Holdings Consumer Analyst Group of New York Conference (CAGNY) 2025 Presentation

Pure Play vs Diversified Players

Celsius is not the only company that has found success riding the health-conscious wave. Competitors such as PepsiCo (PEP) and Keurig Dr Pepper (KDP) have shown they are firm believers in this market. Speaking on this, Tim Cofer (CEO of Keurig Dr Pepper Inc) said, "We're bullish on energy, no doubt about it. We all know it's one of the fastest growing categories within LRB, close to a double-digit mark over the last three years. I think there remains lots of opportunity to continue to offer differentiated brands that hit unique demand spaces and unique targets." Dr Pepper's \$1 billion acquisition of Ghost Energy and a 30% stake in Nutrabolt (maker of C4 energy) demonstrate its commitment to the energy industry. Likewise, PepsiCo has worked over the past few years to dip its toes into the energy and wellness market with Gatorade Fast Twitch, AMP Energy, Rockstar, and its distribution partnership with Celsius. However, the growth in both companies' energy markets is incomparable to Celsius's growth. The main reason for this is that PepsiCo and Keurig Dr Pepper are massive conglomerates with countless brands and products. In 2023, only 59% of Dr Pepper's revenues came from the U.S. refreshment beverage segment, which includes all drinks, not just energy. Even with a stake in the energy drink market, these large conglomerates will not experience as much growth as Celsius due to their diversified nature. Celsius's revenue from 2022 to 2024 has grown 107.34% compared to just 9.21% and 6.32% for Dr Pepper and PepsiCo, respectively.

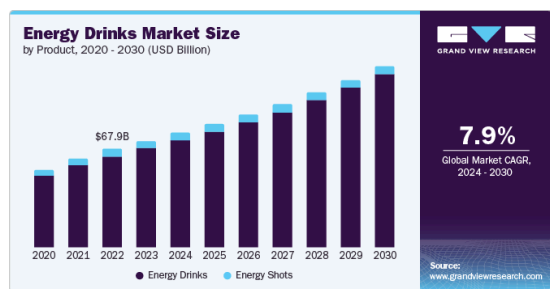
The opportunity and room for growth are far more promising in Celsius than in PepsiCo or Keurig Dr Pepper. Currently, Celsius is comparable to Lululemon, which gained popularity in the 2010s, and Keurig Dr Pepper and PepsiCo to Nike. Lululemon broke into the athletic clothing industry with a clear brand identity and audience, which Celsius has also excelled at. PepsiCo and Dr Pepper are comparable to the athletic apparel company Nike. Just as Dr Pepper and PepsiCo have bought into the energy drink industry and tried to market to the same audience as Celsius, Nike recognized and tried to emulate Lululemon's market appeal. From this analogous situation, we predict that the growth differential between Celsius, Keurig Dr Pepper, and PepsiCo will mirror that of Lululemon and Nike in the following years. Since 2014, Lululemon's revenue has grown by 565.49%, while Nike's revenue has grown by just 84.76%. In 2014, Lululemon's average stock price was \$45.29, and Nike's was \$35.63. In 2025, this number rose for Lululemon to \$356.41, a 686.91%

increase, while Nike rose to \$71.83, only a 101.59% increase. Based on the similarity in industry and company size dynamics, Celsius will likely replicate Lululemon's outperformance of Nike in the following years.



Industry Outlooks

The future for the energy drink industry is very bright. In 2023, the global energy drinks market size was estimated at USD 73.81 billion in 2023 and is projected to grow at a CAGR of 7.9% from 2024 to 2030. Worldwide urbanization and the increasing adoption of work-centric cultures indicate that the demand for energy drinks will only increase. A crucial factor supporting industry growth is that energy drinks continue to capture the young demographic. According to the Mayo Clinic News Network, in 2022, energy drinks were the second most popular dietary supplement among young adults and teens in the U.S.

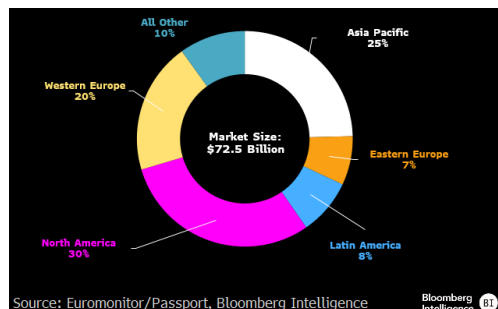


*Image from Grandviewresearch.com Energy Drink Market Analysis Report

Catalysts

Expansion in Europe

One catalyst for Celsius's growth and higher stock price is its expansion into new markets, specifically Europe. Last year, when discussing Celsius's expansion to Australia and New Zealand, John Fieldly, Celsius Holdings, Inc. Chairman and CEO, said, "We expect to continue our international growth at a measured pace, targeting strategically important energy drink markets and employing our proven playbook to build a strong and passionate consumer base." This continued international growth has been on full display this past month as Celsius partnered with Suntory Beverage & Food Benelux to distribute in Belgium and Luxembourg. These are just the latest international markets Celsius has expanded to, joining Australia, France, Ireland, New Zealand, and the United Kingdom.



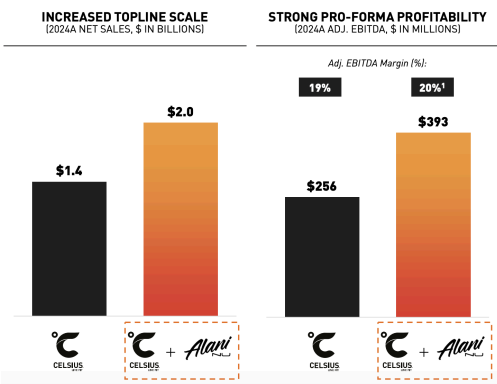
Currently, only 0.78% of Celsius's business comes from Europe, which includes the second and third-fastest growing markets for energy drink sales from 2019 to 2024, with Western Europe at 16% and Eastern Europe at 14%. Europe has a long-standing history with energy drinks, from Red Bull's 1987 launch to its modern stance as the second-largest regional market for the industry. This region is ripe for an explosion in sales, especially due to Celsius reaching the largely untapped health and wellness demographic. Pierre Decroix, CEO of Suntory Beverage & Food Europe, has recognized this as well, noting, "By adding CELSIUS to our portfolio,

we are offering a wider variety of great-tasting drinks that cater to the evolving preferences of our consumers in Belgium and Luxembourg." The distribution partnership and expansion into Belgium and Luxembourg is a positive step in growing Celsius's international market share, which we foresee taking market share from larger competitors, including Monster and Red Bull, just as they have done domestically.

Becoming a global brand will undoubtedly drive Celsius's growth, especially considering it is already outperforming its peers domestically. An example we can look at to see how this can be the case is Monster. Monster expanded to a global brand, and with that, its revenues and market share both increased. Celsius's expansion has every chance to emulate this success. To this day, Monster's global expansion has been reaping rewards for the company's growth. Monster's net sales to customers outside the United States had an 11.7% YoY growth YoY in 2024. This growth accounted for international sales growing from 36.8% to 39.3% of total net sales for the company. From Monster's 2.5% international share of total sales increase, which is less than the 11.7% raw increase in international sales, we can see that the international market outperforms the other business sectors for Monster. Much of the disparity in size and value between Celsius and Monster comes from Monster's global presence, as Celsius's international sales only account for 5.83% of its total sales. From analyzing Monster and Celsius's revenue information for 2024, Monster has 3.69 times the domestic revenue but 37.10 times the international revenue than Celsius. Thus, by having a greater gap to close and extensive room for international growth, the international market is the sector that Celsius must improve to close the gap between them and Monster in terms of size and value. This is why the expansion to Europe and other markets is so important for Celsius: Celsius already has fantastic growth rates domestically, so adding a market that has been shown to have tremendous growth can and will compound Celsius's rapid growth in the future. The distribution partnership and expansion into Belgium and Luxembourg is a positive step in growing Celsius's international market share, which we believe will begin to take market share from larger competitors, such as Monster and Red Bull, just as they have done domestically.

Acquisition of Alani Nu

The acquisition of Alani Nu is a bold and ambitious step for Celsius that will provide a huge net positive for its growth and value. One of the driving factors in Celsius's decision to acquire Alani Nu was the similarity of their brand images. Celsius noted this: "Alani Nu provides complementary brand positioning and access to attractive female consumer demographics, driving incremental energy drink category growth. The acquisition is expected to provide the opportunity for additional, adjacent category expansion, ultimately enabling Celsius to reach more people, in more places, more often." Alani Nu had an incredibly successful 2024 with 64% YoY retail sales growth, and now, with the resources and distribution capabilities of Celsius, partnered with PepsiCo, Alani is set up to continue this incredible growth rate. Because of their similarity in brand positioning and consumer demographics, the growth of Alani Nu was a threat to the growth and reach of Celsius, and by acquiring them, Celsius effectively turned one of their greatest obstacles into an asset. Another advantage that Alani provides Celsius is an opportunity to diversify its product portfolio. Introducing new products has been a core business goal to drive growth for Celsius in the past, as they have introduced the Vibe line of drinks, the Essential line of drinks, and, most recently, powdered energy and hydration. Alani allows Celsius to also expand into protein bars, shakes, and pre-workout.



Not only does this acquisition have qualitative benefits to the brand of Celsius, but the increase in EBITDA resulting from this deal will drive up the value of Celsius stock. With the deal officially closing on April 1st, the effects, especially net synergies (estimated at 50 million), will begin to take effect. Additionally, Alani Nu had 86.97 million in adjusted EBITDA in 2024, so taking both of these into account, Celsius's EBITDA will increase by 137 million from 256 million, at a 19% margin, to 393 million, at a 20% margin from this deal. From these EBITDA figures, we can also see that Celsius made a strategic and conservative acquisition. They purchased Alani Nu for a net price of 1.65 billion, which makes the EBITDA multiple 12x, which is relatively cheap for a company with such rapid growth and a strong

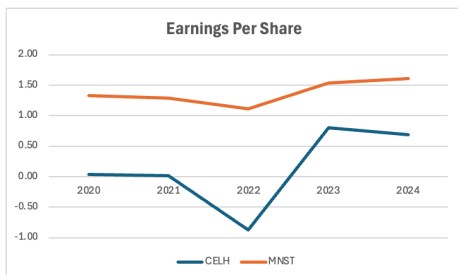
positive bearing for the future. Not only was this acquisition a great deal for Celsius, but they still have about 500 million in cash, and the deal is expected to be accretive to, or increase, cash earnings per share in the first full year. All of these metrics and statistics point toward this being a launchpad for growth within Celsius that will take effect almost immediately.

PepsiCo Distribution Partnership

In the fall of 2022, Celsius struck a partnership with PepsiCo in which PepsiCo would buy inventory from Celsius to distribute worldwide using its extensive distribution network. This deal was a huge catalyst for the over 200% stock growth within the following 2 years. However, when diving into the details of this deal, we can find the explanation for the subsequent 60% loss in the past year. The steep fall in price was due to the fallout from the Q3 revenue numbers, which revealed declining revenue: a negative 31% YoY change. This declining revenue was a result of overselling to PepsiCo and PepsiCo's stopping the purchase of new inventory until they sold the excess inventory that had been built. Analysts predicted that the inventory destock of about \$100-120 million would have a substantial negative impact on Celsius's 2024 EBITDA. The analysts' predictions were correct, and in 2024, Celsius saw a decrease of 14.8% in EBITDA. From this information, we can see that the concern of a smaller revenue growth rate and subsequent tanking price of Celsius in 2024 was due to an isolated issue that will be coming to an end in 2025 and has no reflection on the stability and strength of the company's business. Effectively, as PepsiCo's excess inventory dwindles in 2025, Celsius's revenue growth will once again be on the rise. Because PepsiCo is Celsius's biggest customer, their re-introduction of regular purchasing for demand will greatly increase Celsius's EBITDA and, subsequently, the stock price as well.

Financial Analysis

Growth



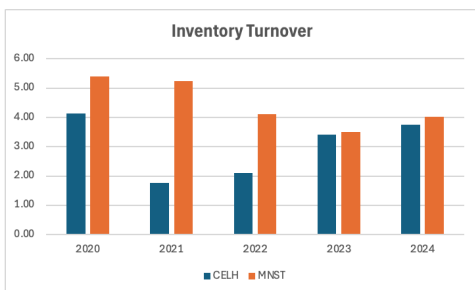
Earnings Per Share

(Net Income - Preferred Dividends) / Shares Outstanding

Earnings per share is a key indicator of a company's profitability and growth potential. A higher EPS is more favorable, as it indicates the profit each outstanding share of common stock has earned. In 2022, Celsius experienced a drop in EPS to -\$0.87, primarily due to increased operating expenses, including temporary legal fees and a fourfold increase in marketing compared to 2021. Celsius has rebounded strongly,

posting EPS of \$0.80 in 2023 and \$0.69 in 2024, reflecting effective management and improving profitability. While Celsius's EPS remains below that of its more mature competitor, Monster Beverage, this gap is immaterial when considering Celsius's earlier stage in its corporate life cycle, in which the company is undergoing aggressive reinvestment aimed at international expansion, product development, and brand building. Given Celsius's upward trend in EPS and the materializing benefits of its strategic investments, we expect the company to generate substantial and growing earnings..

Activity



Inventory Turnover Ratio

Cost of Goods Sold / Average Inventory

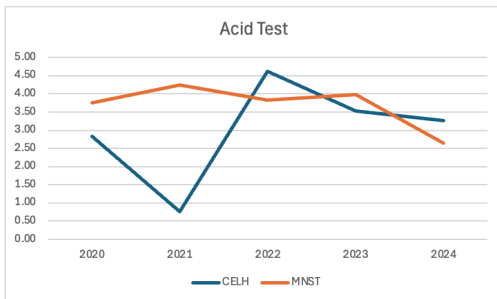
This ratio measures a company's rate of selling, using, or replacing inventory stock. A higher ratio indicates strong sales inventory management. Celsius has continuously improved its inventory turnover from 1.78x in 2021 to 3.75x in 2024, reflecting more efficient inventory management and stronger market demand. Despite a dip in 2024 earnings due to overselling inventory to PepsiCo, Celsius effectively managed its inventory levels, leading to improved inventory turnover despite the turmoil.

Liquidity

Current Ratio

Current Assets / Current Liabilities

The current ratio reflects a company's ability to meet its short-term obligations using its current assets. A ratio above 1.0 indicates that a company has sufficient financial resources to remain solvent in the near term. Over the past five years, Celsius has consistently exceeded this benchmark, ending 2024 with a current ratio of 3.62. Despite a temporary pullback in net income in 2022, Celsius maintained a current ratio of 5.69, driven by disciplined cash management. Although the company's current ratio declined slightly in 2023 and 2024 to support international expansion into the UK, Ireland, France, Australia, and New Zealand and fund Alani Nu's acquisition in April of 2024, Celsius maintained healthy liquidity levels comparable to Monster Beverage, who did not undertake aggressive growth initiatives.



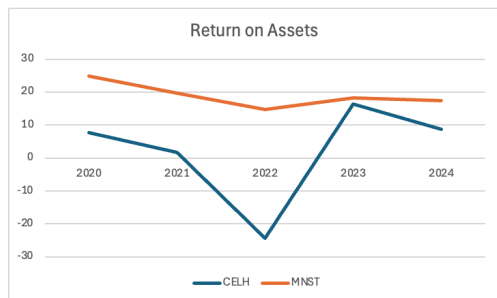
Acid Test/ Quick Ratio

(Current Assets - Inventories) / Current Liabilities

The acid test ratio is more conservative than the current ratio, as it measures immediate liquidity like cash, marketable securities, and accounts receivable that can cover short-term liabilities while excluding inventory, which may not be easily liquidated. Celsius reported a quick ratio of 3.27 in 2024, reflecting high immediate liquidity. By comparison, Monster Beverage reported a quick ratio of 2.65 in 2024, highlighting Celsius's superior ability to expand while meeting short-term

obligations and maintaining liquidity with a well-managed working capital structure.

Profitability



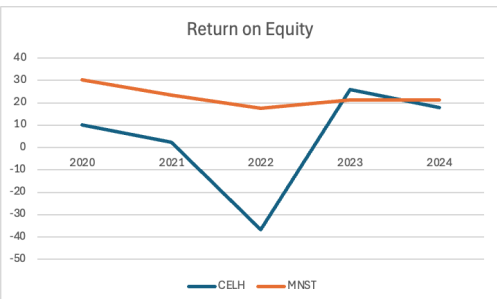
Return on Assets (ROA)

Net Income / Total Assets

This ratio measures how efficiently a company uses its assets to generate net income, with higher values indicating more effective asset utilization. Celsius experienced fluctuations in ROA between 2020 and 2024, including a dip to -24.38% in 2022.

However, the company rebounded strongly with a 16.44% ROA in 2023, signaling improving efficiency and profitability. Monster Beverage delivered a consistent ROA, averaging 18.96% over the past five years. Celsius's recovery trajectory and

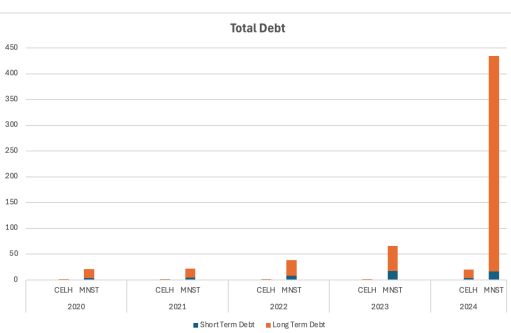
strengthening ROA underscores its progress toward sustainable profitability and increasingly effective asset utilization.



Return on Equity (ROE)

Net Income / Total Equity

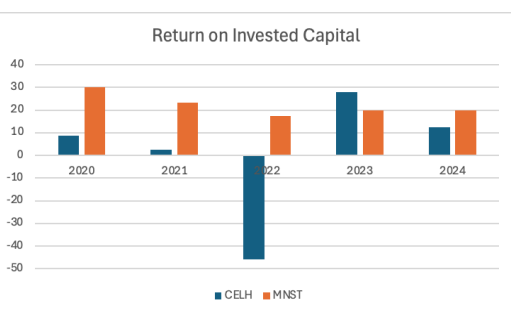
This ratio assesses how effectively a company generates profits from shareholders' equity, with values above the S&P 500's long-term average of 14% generally considered strong. Celsius exceeded this benchmark with an impressive 25.94% in 2023, followed by 17.72% in 2024. As sales expand internationally and across new markets with Alani Nu, Celsius is well-positioned to sustain ROE levels above the market average.



Net Debt-to-EBITDA

(Total Debt - Cash, Cash Equivalents & STI) / EBITDA

This ratio measures the years a company would take to pay back its net debt if EBITDA levels are constant. If a company has more cash than debt, its ratio will be negative, which Celsius achieved in 2020 at -4.21, 2023 at -2.71, and 2024 at -3.68. Contrary to Monster Beverage, which increased debt to \$434.5 million in 2024, Celsius's debt totaled a lean \$20.3 million in the same year. Despite conservative use of leverage, Celsius has continued to scale rapidly and expand internationally, proving its ability to grow without heavy borrowing and risk exposure.

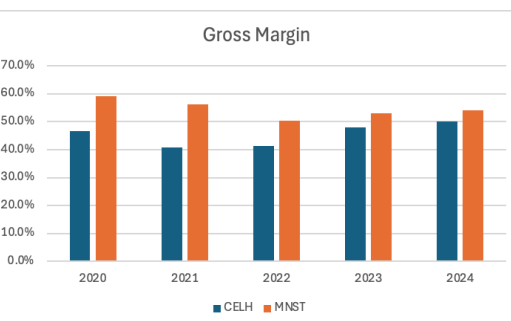


Return on Invested Capital

NOPAT / Invested Capital

This ratio measures how efficiently a company generates returns above its average debt and equity capital cost, indicating its ability to create value. In 2024, Celsius earned a strong ROIC of 12.51%, a significant turnaround from -46.03% in 2022, highlighting improved operational efficiency and profitability. This performance exceeds the soft beverage industry's average WACC of 7.04%, indicating meaningful value creation. While Monster Beverage has consistently maintained a

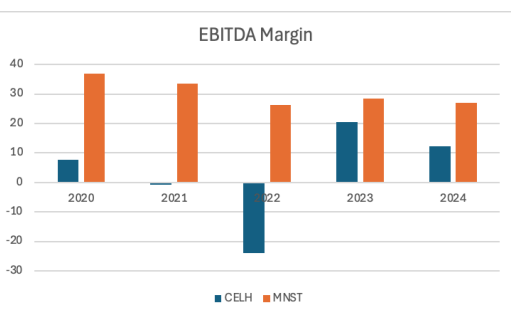
high ROIC, ranging from 17.52% to 30.04% over the last five years, Celsius's upward ROIC trend demonstrates its growing sustainable profitability.



Gross Margin

Gross Profit / Revenue

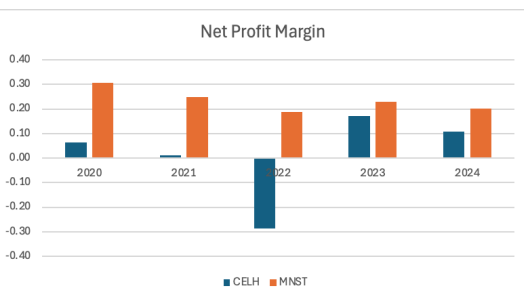
This margin indicates how well a company generates revenue relative to the direct costs of producing its goods. Celsius has steadily improved its gross margin, rising from 40.8% in 2021 to 50.2% in 2024, reflecting stronger cost management and revenue retention. While Monster Beverage led with a gross margin of 54.0% in 2024, Celsius is readily closing the gap, signaling its comparable product profitability.



EBITDA Margin

EBITDA margin is a profitability metric that measures a company's earnings before interest, taxes, depreciation, and amortization as a percentage of revenue. In 2024, Celsius posted an EBITDA margin of 12.18%, meaning that 87.82% of the company's revenue was spent on operating expenses. This impressive recovery from the company's -23.85% margin in 2022 reflects the company's improving operational efficiency. While below Monster Beverage's average of 27.05% EBITDA margin from 2020-2024, Celsius's performance is impressive given its

earlier stage of growth and investments in expansion.

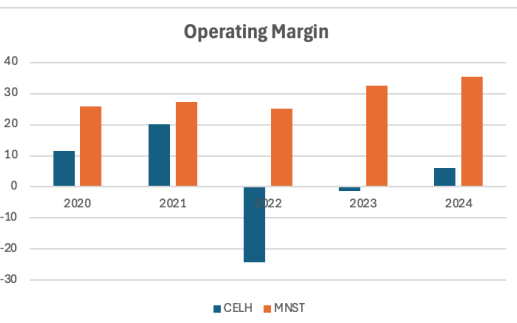


Net Profit Margin

Net Income / Revenue

Net profit margin measures how much net income a company generates as a percentage of its revenue. In 2024, Celsius earned \$0.11 in profit for every dollar of revenue, reflecting a steady improvement from previous years and a significant rebound from its net loss in 2022. While Monster Beverage has reported higher profit margins, it lacks the same growth trajectory as Celsius. Celsius has used its earnings to invest in brand development and market expansion, which have

temporarily compressed margins to position the company to generate greater profits and reach more customers.



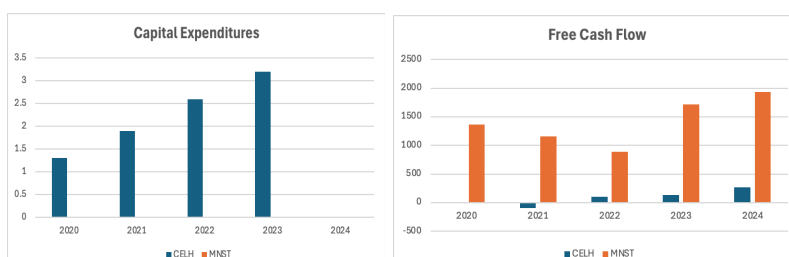
Operating Margin

EBIT / Sales

Operating margin measures how efficiently a company converts revenue into operating profit after paying for variable costs, like labor or materials, and before paying interest and taxes. Celsius reported a 6.05% operating margin in 2024, recovering from negative margins in 2022 and 2023. Celsius's return to positive margins reflects improving operational efficiency and strengthening market position.

Cash from Operations, Capital Expenditures and Free Cash Flow

Celsius has rapidly turned into a cash-generating business. Following a dip in 2021 with -\$96.6M in operating cash flow, the company rebounded by delivering \$262.9M in operating and free cash flow in 2024, more than doubling its 2022 levels. From 2020-2023, Celsius made investments that scaled production, expanded distribution, and built infrastructure for long-term globalized growth. While growing, Celsius has continued to generate increasing cash flows, enabling the company to continue to reinvest in expansion, innovation, and marketing without reliance on external financing. Celsius has successfully established itself as a high-growth company with rising margins, accelerating cash flow, and investments whose benefits are materializing. Expanding free cash flow will help ensure profitability and long-term value creation as Celsius continues scaling.

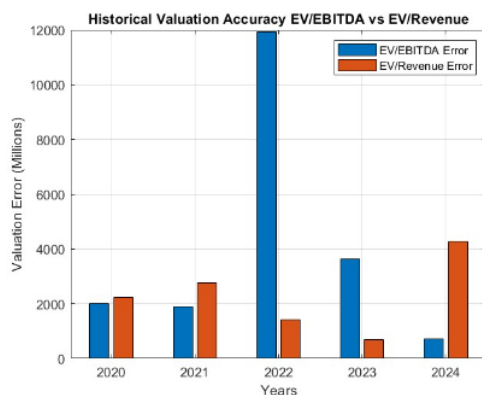


Valuation

Overview

The valuation method used for this analysis was a comparable company's valuation. The company used as a comparison is Monster Beverage (MNST). This company is the only truly comparable public company to Celsius Holdings (CELH), as both of these companies operate solely in the energy drink space, unlike other beverage companies such as Coca-Cola (KO) and PepsiCo (PEP), which sell energy drinks but this only represents a fraction of their respective revenues with no disclosures as to what percent. This comparable company's valuation using the EV/Revenue multiple established a 55.17

per share price target for year-end 2025. The EV/Revenue multiple was used because CELH is still a high-growth company. As such, it does not yet have stable earnings, which can be used for comparison. In 2022, they had negative earnings – as such, using the revenue as a point of reference paints a much better picture of the company's value. To further verify the accuracy of using EV/Revenue over EV/EBITDA, the difference between the actual EV of CELH and the estimated EV of CELH was determined for year ends starting in 2020 and ending in 2024. These calculations found that the average error when the multiple EV/EBITDA was used was 77% higher than when EV/Revenue was used.



Average EV/Revenue Error: 2276.92 million

Average EV/EBITDA Error: 4037.34 million

Assumptions

1. CELH shares outstanding for 2025 assumes dilution of shares based on average increase in outstanding shares since 2020 [+2.043%].
2. Revenue estimates for CELH for 2025 assumes Bloomberg's estimates are accurate
3. PepsiCo's preferred equity is worth the 550 million in liquidation preference outlined on the 10k reports for 2022-2024.
4. Celsius Holdings' business model is 1:1 identical to that of Monster Beverage's however it is a far more mature company.

Other Comments

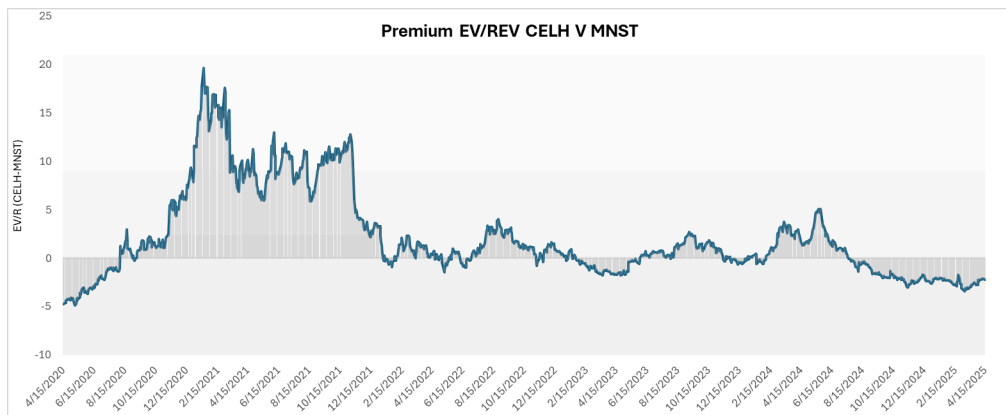
Other companies considered but not used: (1) PepsiCo, (2) Coca-Cola, (3) Campbell's, (4) Keurig Dr Pepper Inc. (1) PepsiCo was not determined to be a comparable company to Celsius since only a fraction of its revenue is represented by Rockstar Energy, Mountain Dew AMP, and Rockstar. Further diluting their viability as a possible comparison is Pepsi's non-drink product revenue, which comes from Frito-Lay, Quaker, Tostitos, SunChips, Sabra, and Pearl Milling Company. (2) Coca-Cola was not determined to be a viable comparison to Celsius due to its wide range of products, in which energy drinks are not a primary income generator. (3) Campbell's was disregarded because they specialize primarily in the food market and not the energy drink market. (4) Dr Pepper was disqualified as a comparable company because it has too many product offerings, which dilute revenue comparison accuracy. The comparable EV/Rev multiple of MNST for 2025 was adjusted to account for the premium price historically paid for Celsius. Adjustment was 2.84.

Methodology

The method used for this valuation was a comparable company's valuation. First, EV/Rev multiples over the past five years were calculated. Five years was used because it provides sufficient information to make a short-term investment decision. To calculate the enterprise values for both MNST and CELH, the sum of their long-term and short-term debt was calculated; from this value, cash and equivalents were subtracted. For companies with preferred equity, the value of this preferred equity was subtracted to account for only the value of the standard equity. The revenues for CELH and MNST were sourced from the yearly 10k reports for five consecutive years, beginning in 2020 and ending in 2024.

CELCIUS EV/R VALUATION						
Year	Revenue	Shares Outstanding	MNST EV / Revenue	MNST EV / Revenue (Adjusted)	MNST BASED VALUE (MBV)	Celcius Share Price (Estimated)
2025*	1,600,000,000	239,815,887	6.16	8.27	13,231,786,775	55.17
2024	1,355,630,000	235,013,960	6.67	8.78	11,906,664,271	50.66
2023	1,318,014,000	231,787,482	8.08	10.19	13,435,956,209	57.97
2022	653,604,000	229,146,788	8.19	10.31	6,736,378,253	29.40
2021	314,271,559	224,727,000	8.93	11.05	3,471,591,204	15.45
2020	130,725,777	216,788,487	10.36	12.48	1,630,853,790	7.52

Because of the difference in the maturity of CELH and MNST, the basic EV/Revenue multiple calculated for 2025 would undervalue CELH. CELH is a far younger company than MNST. In 2025, Celcius's revenue is estimated to grow by approximately 18% at minimum, while MNST is expected to grow its revenue by 6%. Due to this notable difference between the two revenue growths, the base EV/Revenue multiple of MNST must be adjusted to match the premium that should be paid for the high-growth prospects CELH exhibits. To adjust the multiple, the EV/Revenue ratios of CELH for the past five years were subtracted from the EV/Revenue ratios of MNST for the past five years to determine the premium price of Celcius. The average of this premium was then used as the adjustment value added to the estimated 2025 EV/Revenue, yielding an adjusted EV/Revenue multiple of 8.27. All five years were used as an adjustment because the CELH premium has not always been positive, and therefore, accounting for the negative premiums on and after July 2024 provides a multiple that wholly accounts for market sentiment and is, therefore, much more comprehensive.



Findings

From the calculations, we get that the estimated multiple for 2025 would be 8.27. Using this multiple and an estimated revenue of 1.6 billion for 2025, the estimated valuation for CELH is approximately 13.23 billion by year-end 2025. This value results in an estimated 55.17 per share price target when CELH's historical year-over-year share dilution is taken into account, which increases the number of outstanding shares by 4,801,927 or approximately 2%.

Investment Risks

Tariffs

On April 2nd, A document released by President Trump detailed an expansion of tariffs on “beer and empty aluminum cans.” The tariff was set on April 4th to increase from the baseline 10% imposed on almost all imported goods to 25% for these cans. As of April 9th, these tariffs have not been paused like most reciprocal tariffs on many countries. President Trump’s efforts to move manufacturing to the United States through these tariffs concern Celsius because, as of the 2021 ESG report, Celsius packages over 90% of its finished goods in aluminum cans. Additionally, according to Celsius’s 10-K, “the decrease in gross profit margins from the 2020 period to the 2021 period is mainly related to increases in raw material costs (primarily aluminum cans).” While there is a clear connection between the price of aluminum and Celsius’s bottom line and performance, this is unlikely to significantly impact Celsius’s performance as a whole. “Economists Pablo Fajgelbaum, Pinelopi Goldberg, Patrick Kennedy, and Amit Khandelwal examined the tariffs on washing machines, solar panels, aluminum, steel, and goods from the European Union and China imposed in 2018 and 2019. They found that US

firms and final consumers bore the entire burden of tariffs” (Durante, 2025). As consumers have become increasingly aware of the effect of tariffs on prices, it is likely that to avoid the aluminum tariffs affecting Celsius’s bottom line, they will pass the burden on to the customer through increased prices. Ordinarily, these increased prices may slow sales, but because of our economic climate, these will be expected and won’t turn off consumers. Additionally, as tariffs wiped out trillions of dollars and knocked over 10% off the S&P 500, Celsius stock has seen steady incremental increases, showing its ability to be unaffected by tariff pressure on the market as a whole..

Overleveraged in a Competitive Market

Celsius Holdings Inc. is a formidable competitor in the energy drink market. While it only controls 11.8% of the market share comparatively to the 63.3% Monster (27.7%) and Red Bull (36.6%) hold, it leverages its position as a health-conscious drink to expand into its competitor's space. The brand was founded in 2004, but in the 2010s, it rose to prominence as fitness and health awareness became more popular. This growth is reflective of energy drinks as a whole. In 1987, Red Bull was founded, and in the late 90s, it differentiated itself from the rest of the beverage industry by introducing a mainstream energy drink that positioned itself with extreme sports. Now that the energy drink market has expanded to 83.56B in 2025 from 5.7B in 2006 (12.3% YOY growth), Red Bull and Monster are the new duopoly, comparatively to Coca-Cola and PepsiCo of the latter-day beverage industry. The majority of the risk stems from the stability Celsius lacks when competing against Monster and Red Bull. With their recent acquisition of Alani Nu, Celsius exposed itself to 900M in debt, taking equity away from its stockholders and placing it in debt. This debt was used in an acquisition that contained a lot of goodwill, which means that debt went up by a much higher percentage than tangible assets on the books and can lead to an overvaluation of the company. The acquisition could put Celsius in a less powerful position to expand, which is essential for a growth company.

However, successfully integrating Alani Nu into Celsius brings a product expansion with a female and culture-focused demographic, both of which appeal to characteristics of early adopters in Europe and domestically. Where Celsius lacks infrastructure, it makes through partnerships. Red Bull, which had \$4.284B in annual revenue compared to Celsius's \$1.36B, also has its own distribution company. To expand globally, both companies would need first to be able to expand distribution. Red Bull would need to invest in infrastructure in any expansion areas, whereas Celsius can create a partnership deal with distributors as it has done with PepsiCo (2022) and Suntory Beverage & Food Benelux (2024). Looking to the future, a partnership with a prominent distributor like Danone (a French multinational food product company) can bring product exposure into over 120 new countries' retail environments. With most Danone products already being health-focused, Celsius would be well equipped to appeal to the retail markets they are already in. Celsius's other competitive advantage is its differentiation as a health-positive energy drink. Established market leaders have, from the start, intensely associated their products with extreme sports, regardless of the associated unhealthy lifestyle. Having trouble appealing to today's health-conscious consumers while still retaining their extreme base, Red Bull and especially Monster have not been able to release healthier products at the same rate. Monster, for example, did not release a zero-sugar version of its original flavor until 2023. Conversely, Celsius built on its 37 flavors with 6 new releases this last year and new differentiated products that target specific consumer demographics, including their latest acquisition of Alani Nu. The acquisition provides Celsius with a trending product with established connections to powerful influencers and a target demographic of hip, fit, and young women, the industry's most common early adopters. Thus, Alani Nu can catalyze global expansion, helping Celsius penetrate untapped markets. While some may view Celsius as overextended in markets leveraged against it, strategic partnerships—supported by strategic marketing campaigns—can drive meaningful market share growth comparable to Monster and Red Bull.

Slowing Revenue While Being Valued As A Growth Company

Over the past five years, Celsius has established itself as an emerging leader in the energy drink space, posting an impressive average year-over-year revenue growth of 78.34%. While this growth may seem expected for a company classified as a growth stock—especially when compared to mature players like Monster and Red Bull—Celsius stands out even among its high-growth peers. No other brand in the category has matched its pace of expansion.

However, in 2024, and for the first time since a single quarter in 2018 (-10%), the company had negative revenue growth (-30.91% and -4.32% in the final two quarters), while Monster (4.94% YOY) and Red Bull (6.4% YOY) continued to grow. Celsius's decline raised concerns about whether the company may be transitioning out of its growth phase and whether valuation should, therefore, shift more to tangible assets rather than growth potential. Although this decline is concerning, especially when considering fundamental valuations, there are strong reasons to view this slowdown as an anomaly rather than a long-term trend.

When Celsius partnered with PepsiCo in 2022, PepsiCo overestimated the amount of inventory it needed, resulting in an inventory surplus and reduced orders in the following quarters. This short-term decrease in inventory orders doesn't reflect a drop in underlying consumer demand.

PepsiCo is currently amidst a global marketing campaign to revitalize the Pepsi beverage and bring it back into the zeitgeist. The company anticipated the increased demand by restructuring its distributions to combine its food and beverage products into the same system. With Celsius being their main health-focused energy beverage, its demand and retail exposure are set to expand alongside Pepsi's. Since both products have different target markets, they will complement each other's sales rather than siphon them. This campaign could be comparable to the 2000's Pepsi campaign, where year-over-year revenue change went from -25% YOY in 1997 to 11.28% in 2005. The opportunity for domestic expansion can be further justified by the Trump administration's stance on health improvement and RFK Jr.'s planned banning of the purchase of sodas and chips with government-funded food stamps. With 41 million Americans on food stamps, they accounted for \$12B in revenue in 2024 and a projected \$14.9B in 2025. Analysts at NPR have found that 10% of these sales (\$1.5B) are spent on sugary drinks. This may increase sales among individuals using food stamps who may seek out soda alternatives. Beyond the U.S., Europe and Australia have majorly untapped, health-conscious markets that tend to be physically fit (obesity rates 2024: US 40.3 %, UK 26%, Aus. 31.7%). Celsius has already begun expansion into some of these places (Australia, France, Ireland, New Zealand, and the UK) with their 2024 partnership with distributor Suntory Beverage & Food Benelux. Once Celsius establishes prominence in these newly acquired markets, it will have earned the leverage to make a deal with a larger multinational beverage distributor like Danone and continue to grow to be comparable to Red Bull and Monster. Therefore, Celsius should still be considered and valued as a growth stock.